BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA

Order Instituting Rulemaking to Modernize the Electric Grid for a High Distributed Energy Resources Future.	Rulemaking 21-06-017 (Filed June 24, 2021)

REPLY COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON THE ADMINISTRATIVE LAW JUDGE'S RULING SEEKING COMMENTS REGARDING FUTURE GRID STUDY REPORT

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In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission ("Commission"), the Vehicle-Grid Integration Council ("VGIC") hereby submits these reply comments on the *Administrative Law Judge's Ruling Seeking Comments Regarding Future Grid Study Report* ("Ruling"), filed October 17, 2024.

I. INTRODUCTION.

In opening comments, many parties emphasized the importance of enabling Distributed Energy Resources (DERs) to provide grid services, given the expected increase in new flexible electric loads across California. VGIC continues to recommend that the Commission focus its resources on near-term actions that can enable widespread EV charging while mitigating distribution impacts and minimizing ratepayer costs. In particular, the Future Grid Study Report (FGS Report) highlights flexible load energization as a strategy that VGIC believes can be implemented within a 1–2 year timeframe. In response to party comments on flexible load energization, VGIC provides the following insights:

- The record demonstrates that the Commission should outline next steps for implementing flexible load energization immediately.

- Flexible load energization could become a permanent energization pathway if the Commission takes action.

II. THE RECORD SHOWS THAT THE COMMISSION SHOULD OUTLINE NEXT STEPS FOR IMPLEMENTING FLEXIBLE LOAD ENERGIZATION IMMEDIATELY.

VGIC strongly supports establishing a broader flexible load energization pathway and agrees with parties who have stressed the urgency of enabling this critical transition for California's energy future. In opening comments, numerous stakeholders, including Public Advocates Office at the California Public Utilities Commission ("Cal Advocates"), California Community Choice Association ("CalCCA"), Advanced Energy United ("AEU"), Environmental Defense Fund ("EDF"), CALSTART, and Natural Resources Defense Council ("NRDC") advocated for immediate action to create broad flexible load energization frameworks. As stated by Cal Advocates, flexible load energization will "allow the IOUs to address immediate operational challenges and provide ratepayers benefits without overextending system capabilities and increasing costs prematurely."[1] Cal Advocates and CalCCA also highlighted the use of flexible load energization pilots, which allow customers to energize while distribution circuits are upgraded, a necessity as large fleets increasingly electrify, as EDF, CALSTART, and NRDC jointly noted.[2] The record underscores that flexible load energization is vital to achieving California's decarbonization goals, and the Commission must act promptly to unlock its full potential.

To facilitate broader implementation, i.e., beyond the current limited PG&E and SCE pilots, the Commission should designate a venue for creating flexible load energization

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[1] Cal Advocates Opening Comments at 15.
[2] EDF, CALSTART, and NRDC Joint Opening Comments at 4.

frameworks and issue a scoping memo in that proceeding to define the appropriate next steps. Parties have identified several potential venues for addressing flexible load energization, including:

- Track 2 of this High DER Proceeding (R.21-06-017)
- Track 3 of this High DER Proceeding (R.21-06-017)
- Energization Timelines Proceeding (R.24-01-018)
- A dedicated working group focused solely on flexible load energization

Given discussion on this issue, it is likely that multiple proceedings will be implicated in the creation of flexible load energization, including those mentioned above but also the Transportation Electrification proceeding (R.23-12-008) and General Rate Cases given the implications for cost recovery. In Opening Comments, AEU and EDF, CALSTART, and NRDC recommend that the Commission establish a working group to host stakeholder discussions and create the flexible load energization framework. VGIC supports this approach but would also endorse other methods of record development, such as workshops with comments or Rulings that allow for stakeholders to submit written comments. VGIC is agnostic about the specific venue but urges the Commission to take decisive action and identify next steps immediately.

III. FLEXIBLE LOAD ENERGIZATIONS COULD BECOME PERMANENT ENERGIZATION PATHWAYS IF THE COMMISSION TAKES ACTION.

In Opening Comments, San Diego Gas and Electric ("SDG&E") states that "Flexible load energization is a temporary solution for connecting new loads and does not obviate the need for upstream distribution capacity upgrades." VGIC strongly disagrees with the blanket characterization of flexible load energization as merely a temporary solution. The Commission has the authority to allow customers to opt into permanent flexible load energization agreements, enabling them to provide ongoing grid services.

Multiple parties have outlined the potential for scaling flexible load energization into permanent pathways that provide significant grid benefits. Cal Advocates highlight that these types of Flexible Service Agreements ("FSAs") are "foundational to more advanced, long-term use cases focused on DER services and load management."[3] By promoting the use of power control systems and other mechanisms to establish import limits, for example simple static load limit schedules or dynamic load limit approaches, FSAs can create reliable permanent or temporary load curtailment strategies, providing system operators with the certainty needed to plan for and manage the distribution grid effectively. This will likely be the keystone of future DER grid service programs, including the potential transactive markets discussed in the FGS report, but also other dispatchable DER programs. Ultimately, VGIC agrees with AEU that "the specific technical requirements, operational parameters, and legal and regulatory treatment of FSAs will likely be important to many forms of visibility, control, and compensation for these programs."[4]

SDG&E states that customers cannot permanently sign flexible service agreements because of the utility's obligation to serve customer load. However, the Commission could formalize pathways for customers to voluntarily opt into scheduled load import limits or FSAs on a permanent basis and through a contractual agreement with the utility. Significant record development and stakeholder discussions are needed to fully implement a broadly accessible flexible load energization framework. The FGS Report, the Smart Inverter Operationalization

[3] Cal Advocates Opening Comments at 15.
[4] Advanced Energy United Opening Comments at 4.

Working Group ("SIOWG") Report, and Enphase's motions on FSAs[5] have identified outstanding issues to be addressed. These issues are largely policy discussions, and the Commission can resolve these issues and establish broad flexible load energization as a cornerstone of California's DER strategy. The Commission should begin these discussions without delay.

IV. CONCLUSION.

VGIC appreciates the opportunity to provide these reply comments on the Report. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

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Date: January 10, 2025

[5] See *Motion Of Enphase Energy, Inc. to Amend Scoping Ruling and Schedule to Address Optional Flexible Connection Agreements and the Underwriters' Laboratory 3141 Standard for Power Control Systems in Investor-Owned Utilities' Energization Rules,* R.21-06-017, May 6, 2024.
See also *Motion Of Enphase Energy, Inc. to Amend Scoping Ruling and Schedule to Address Optional Flexible Connection Agreements and the Underwriters' Laboratory 3141 Standard for Power Control Systems in Investor-Owned Utilities' Energization Rules,* R.24-01-018, September 11, 2024.